
STANDARD OPERATING PROCEDURES FOR ACCOUNT OPENING FOR RETAIL CUSTOMER

Document Version & Change Control	
SOP / Document Name	Standard operating procedures for Account Opening for Retail Customers
Last Review Date	23/06/2025
Owner / Owner Department	Consumer Banking
Version No	1.6
Release Date	24/06/2025

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Document Amendment History / Summary of Changes				
Version No.	Date	Para Reference and Area of Change - Title	Details of Change	Reason for Change
1.5	31/10/2024	1) Revision in SOP 1.1. Account Opening Retail Accounts • Minor account 1.3 Customer Risk Categorization 1.5 Central KYC Records Registry (CKYCR) record creation 2) Addition in SOP 1.1. Account Opening Retail Accounts 1.7 On-Boarding of Staff additional rate of interest 1.8 Account portability or Home Branch Change 1.9 Scheme Code Change	1) 1.1 Minor Account process updated, Account of PEP opening updated, Retrieval of KYC documents through CKYCR Number process updated 1.3 Risk Categorization updated 1.5 Minor account BIDMS process updated, 2) Addition in SOP 1.1 BIDMS (Document Management Systems) process added Account opening process added for Individual	1&2) Changes done as per current processes handled by Consumer Banking Team 3) Unit name changed

		1.10 Closure of accounts Unit name updated	Joint Accounts Account opening of illiterate person Account opening of Sick, old or Incapacitated person Account opening of Blind / Visually Impaired persons Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Opening of Accounts under The Mental Health Account of Transgender person Account opening of Queer Partners Enhanced due diligence (EDD) 1.7 to 1.10 process added 3)Unit name changed as Consumer Banking wherever applicable	
1.6	21/04/2025	1.1 Account Opening – Retail Accounts An account of a minor above the age of 10 years can be opened without a natural guardian. In such accounts, nomination should be registered by the natural guardian.	1.1 Account Opening – Retail Accounts Added : Savings / Term Deposit Accounts of a Minor up to the age of 10 years can be opened by a natural guardian (including mother as guardian) or otherwise by a guardian appointed by a Court of Law or by Testamentary guardian (Guardian appointed through probated will). In such cases, a probate of the will should be obtained from the claimants. 2nd para Added : Minors above such an age limit not less than 10 years (who are literate) and up to such amount and such terms as may be fixed by the banks keeping in view their risk management policy, may be allowed to open and operate savings/ term deposit accounts independently , if they so desire, and such terms shall be duly conveyed to the account holder . The banks shall ensure that accounts of minors, whether operated independently or through a guardian, are not allowed to be	As per ORMD Review & latest RBI Circular dated April 21, 2025

		(A) b. Permanent Account Number (PAN) or the equivalent e- document thereof or Form No. 60 as defined in Income- tax Rules. (II) Joint Account Joint account is an account where two or more persons open an account in their joint names. A joint account can be opened with non-relatives in exceptional rare case subject to approval from Cluster Heads which should be handled with caution. Following documents need to be obtained for opening Joint account: c) If Nomination required is selected as YES on AOF, nomination form should be obtained separately.	overdrawn and that these always remain in credit balance. (A) b. Permanent Account Number (PAN) or the equivalent e- document thereof or Form No. 60 as defined in Income- tax Rules (Only in case where PAN has not been issued) (I) Individual For current account in individual name will be handled at CPC. CIF creation and opening of account will be done at CPC. Branches to collect the AOF and documents and sent to CPC for further processing in CBS. (II) Joint Account Joint account is an account where two or more persons open an account in their joint names. A joint Savings/Term deposits account can be opened with non-relatives in exceptional rare case subject to approval from Cluster Heads which should be handled with caution. Following documents need to be obtained for opening Joint account: - c) Added - Nomination form Should signed by all account holders. Added: Customer on-boarded through Mobile application by Aadhaar authentication	As per ORMD review
		Enhanced Due Diligence After the creation and verification of the Customer Identification number the branch should create and verify the account. The 15-digit account number so created will be issued to the customer.	Enhanced Due Diligence After the creation and verification of the Customer Identification number the branch should create and verify the account. The 15-digit account number so created will be issued to the customer. Account should not be opened without initial payment. The initial	As decided by Approval Committee

		The customer pays an initial deposit either by cash, cheque or by remittance.	payment should be accepted by way of cheque or remittance. Exceptional Cases: In cases where the customer does not have an account with another bank or has an account with a thumb impression (where a cheque is not available), cash may be accepted for the initial payment. Cash acceptance for initial payment in exceptional cases requires approval from the Cluster Manager/Zonal Manager. NOTE: Initial deposit in cash should be less than Rs. 20,000/- only.	
		1.1 Account Opening – Retail Accounts B. Where the OVD furnished by the customer does not have updated address, the following documents or the equivalent e-documents thereof shall be deemed to be OVDs for the <u>limited purpose of proof of address</u>:	1.1 Account Opening – Retail Accounts B. Where the OVD furnished by the customer does not have updated address, the following documents or the equivalent e-documents thereof shall be deemed to be OVDs for the <u>limited purpose of proof of address</u>: Process enhancement Contact Point Verification (CPV), for proof of address is discontinued w.e.f. April 4, 2025	As advised by Compliance Dept.
		Retrieval of KYC documents through CKYCR Number	Retrieval of KYC documents through CKYCR Number Where the CKYC documents furnished by the customer does not have updated address, the following documents or the equivalent e-documents thereof shall be deemed to be OVDs for the <u>limited purpose of proof of address</u>: Process enhancement Contact Point Verification (CPV) for proof of address is discontinued w.e.f. 04.04.2025	As advised by Compliance Dept.
		1.2 Inoperative Accounts Accounts which are tagged as Inoperative – Accounts can be activated by obtaining KYC	1.2 Inoperative Accounts Accounts which are tagged as Inoperative (No customer induced transaction for more than 2 years in the	As per ORMD review

		documents. For this purpose of Inoperative account activation SOP on “Inoperative Accounts and Static Data changed” should be referred.	account) – Accounts can be activated by obtaining KYC documents. For this purpose of Inoperative account activation SOP on “Inoperative Accounts and Static	
		MEDIUM RISK	MEDIUM RISK Added - Periodic updation of KYC shall be carried out every Eight years for Medium-risk customers.	As per ORMD review
		1.9 Scheme Code Change 1.9.2 List of documents required to be obtained by branch for doing product code change in different cases:	1.9 Scheme Code Change 1.9.2 List of documents required to be obtained by branch for doing product code change in different cases: Added : On attaining the age of majority, fresh operating instructions, KYC documents, photograph and specimen signature of the account holder shall be obtained and kept on record. Moreover, if the account is operated by the guardian, the balance shall be got confirmed. The branch shall take advance action, including communicating these requirements to minor account holders attaining the age of majority, to ensure fulfilment of these requirements.	As per latest RBI Circular dated April 21, 2025
		1.11 Appointment of Mandate Holder, POA and LOA 1.12 Abbreviation	1.10 Closure of accounts B) Procedure for closure of account: Added : 10) Approval of Cluster Head will be required to be obtained for premature closure of Term Deposit (irrespective of amount) or for closure of Active Savings or Current Account. 11) The repayment amount on closure of account (together with interest, if any) amounting to Rs.20,000/- or more has to be made only by credit to the account of the payee or by an account payee cheque/ draft/remittance.	As advised by Approval Committee

			1.11 Appointment of Mandate Holder, POA and LOA (Added)	
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Change History

This document shall be reviewed periodically, at least annually, to ensure its effectiveness, compliance with regulatory changes and alignment with the Bank's approved policies.

Version	Change Description	Date	Author
1.1	1 st version according to Old CBS (Finacle)	25/01/2022	
1.2	2 nd version updated as per new CBS (Turing)	29/04/2023	
1.3	Updated as per ORM comments and approved by ORM	25/07/2023	

1.4	A) Revision in SOP-1.3 Customer Risk Categorization High Risk Below mentioned point is removed in SOP. “All customer risk rated “HIGH” should be approved by Business Head before onboarded.” B) <u>Addition of the following In Retail SOP</u> 1.1 Account Opening – Retail Accounts KYC should be obtained for all joint holders of the account. Customer Due Diligence should be performed for all the joint holders. Added new point Retrieval of KYC documents through CKYCR Number (Changes done as per Audit requirement)	16/02/2024	
1.5	Updated as per ORM Comments and approved by ORM Process enhancement as advised by Compliance Department – Discontinuation of CPV process As per latest RBI Circular dated April 21, 2025	25/03/2025	

The Standard Operating Procedures (SOP's) for Retail Account Opening at Branch Level are covered in this document. The roles and responsibilities of employees of USFB are detailed herein at each specific stage.

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Section 1: Know Your customer process

1.1 Account Opening – Retail Accounts

- Individuals can open an account in a single name or in joint capacity. Joint holders will be family members / close relatives. A joint account can be opened with nonrelatives in an exceptionally rare case subject to approval from Cluster Heads, which should be handled with caution. Savings / Term Deposit Accounts of a Minor up to the age of 10 years or more can be opened by a natural guardian (including mother as guardian) or otherwise by a guardian appointed by a Court of Law or by Testamentary guardian (Guardian appointed through probated will). In such cases, a probate of the will should be obtained from the claimants.
 - Minors above such an age limit not less than 10 years (who are literate) and up to such amount and such terms as may be fixed by the banks keeping in view their risk management policy, may be allowed to open and operate savings/ term deposit accounts **independently**, if they so desire, and such **terms shall be duly conveyed to the account holder**. In such accounts, nomination form should be signed by the guardian.
 - Politically Exposed Persons” (PEPs) i.e. individuals who are or have been entrusted with prominent public functions in a foreign country, e.g., Heads of States/Governments, senior politicians, senior government/judicial/military officers, senior executives of state-owned corporations, important political party officials, etc.
- A. When a customer approaches the bank for opening an account, a general interview/customer due diligence is conducted by Bank official (RM) to understand the need of the customer and accordingly account opening form, Personal Information Sheet (PIS), KYC Documents and recent photograph. FATCA form is incorporated in the PIS form wherein account holders must declare their tax residency status. If customer is declaring Multi-Tax Residency or Non-Resident of India, separate FATCA Form is to be obtained from customer with proper TIN Number and other details. Details of KYC documents to be obtained which is acceptable for Customer Identification are as below.

The documents obtained should be verified with original -

- a. Any one Officially Valid Documents (OVD) - the passport, the driving license, proof of possession of Aadhaar number, the Voter's Identity Card issued by the Election Commission of India, job card issued by NREGA duly signed by an officer of the State Government and letter issued by the National Population Register containing details of name and address.

- b. Permanent Account Number (PAN) or the equivalent e- document thereof or Form No. 60 as defined in Income- tax Rules (Only in case where PAN has not been issued).
- c. PAN & ADHAAR submitted by customer must be invariably linked to each other.

{The Aadhaar copy has to be submitted if customer is desirous to avail any benefit or subsidy under any scheme notified under section 7 of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016)}

- d. In the event of any mismatch in the OVDs submitted by the customer e.g. DOB, name, father/spouse name etc. Adequate due diligence should be carried out by branch official to satisfy himself as to the bonafide's of the customer and that none of the documents being examined are fabricated. Once the branch official is satisfied on the above counts, then a declaration may be obtained for the same.
- B. Where the OVD furnished by the customer does not have updated address, the following documents or the equivalent e-documents there of shall be deemed to be OVDs for the limited purpose of proof of address: -

Registered Sale Agreement or Registered & Valid Leave and License Agreement to be obtained for Current address.

OR

Any one of the following Deemed OVDs can be obtained

- a. Utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill).
- b. Property or Municipal tax receipt.
- c. Pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings if they contain the address.
- d. Letter of allotment of accommodation from employer issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and license agreements with such employers allotting official accommodation.

Within 3 months the customer shall submit an updated OVD with current address to the Bank. If the customer does not provide OVD with updated Address, then the account will be Debit freezed.

Contact Point Verification (CPV), for proof of address is discontinued w.e.f. 04.04.2025.

Customer on-boarded through Mobile application by Aadhaar authentication

With the reference to the RBI Master Direction REF: RBI/DBR/2015-16/18 Master Direction DBR.AML.BC.No.81/14.01.001/2015-16 dated **February 25, 2016 (Updated as on June 12, 2025)** which mentions the below:

where the customer has submitted Aadhaar number under clause (a) above to a bank or to a RE notified under first proviso to sub-section (1) of section 11A of the PML Act, such bank or RE shall carry out authentication of the customer's Aadhaar number using e-KYC authentication facility provided by the Unique Identification Authority of India. Further, in such a case, if customer wants to provide a current address, different from the address as per the identity information available in the Central Identities Data Repository, he may give a self-declaration to that effect to the RE.

With reference to RBI Master Directions , **if Retail customer is on boarded through Mobile App.**, where Aadhaar authentication is carried out for the customer's Aadhaar number **using e-KYC authentication** facility provided by UIDAI, in such a case, if customer wants to provide a current address, different from the address as per the identity information available in the Central Identities Data Repository, **we can obtain self-declaration to update the same for communication Address.**

Enhanced Due Diligence (EDD) to be conducted in case of High-Risk customers.

E- KYC documents can be accepted for account opening with Customer Due Diligence. In such cases branch should share the documents to CAOC for verification of Signature and KYC documents from the issuing authority site.

KYC should be obtained for all joint holders of the account. Customer Due Diligence should be performed for all the joint holders.

(II) Individual

An Individual who is competent to contract can open an account in his/her single name with MOP as singly. Branch staff should explain the benefits of nomination and should insist name of nominee to be mentioned on the nomination form (DA1).

Current account can also be opened in the name of individuals who are running a business in their individual names (transactions in such accounts should be in consistent with business declared).

For individual current account declaration from customer stating nature of business activity should be obtained along with OVD of customer. For current account in individual name will be handled at CPC. CIF creation and opening of account will be done at CPC. Branches to collect the AOF and documents and sent to CPC for further processing in CBS.

Following documents needs to be obtained for opening individual account: -

- i) Account opening form (Savings/ Current Account -for resident individual)
- ii) OVD of customer (Refer point no 1.1 A, B, C)
- iii) Latest photograph of customer
- iv) Nomination Form (DA1)
- v) PAN card or Form 60
- vi) Terms & conditions page
- vii) Declaration from customer stating nature of business (in case of individual current account)

(III) Joint Account

Joint account is an account where two or more persons open an account in their joint names. A joint Savings/Term deposits account can be opened with non-relatives in exceptional rare case subject to approval from Cluster Heads which should be handled with caution. Branch should ensure that no business transactions are carried out from Joint Savings Account.

Following documents need to be obtained for opening Joint account: -

- a) Account opening form (Savings/ current account- For resident individuals).
- b) Separate PIS should be obtained for joint holder.
- c) If Nomination required is selected as YES on AOF, nomination form should be obtained separately. Nomination form Should signed by all account holders
- d) OVD of all account holders.
- e) Pan Card / Form 60 of all holders.
- f) Terms & conditions page signed by all holders.
- g) Latest photograph of all holders.

(IV) Minor Accounts:

- **Minor accounts where age of the minor is Below 18 years: -**
 - i. Any document issued by competent authority / OVD of the minor having date of birth mentioned.
 - ii. Pan Card/Form 60 of the guardian.
 - iii. OVD of the guardian.
 - iv. FATCA declaration form signed by the guardian in front of bank staff (FATCA form is incorporated in the PI sheet only)
 - v. Photo of the guardian
- **Minor accounts where age of the minor is above the age of 10 years: -**
 - i. OVD of the minor
 - ii. Pan Card/Form 60 of the guardian
 - iii. FATCA declaration form signed by the guardian. (FATCA form is incorporated in the PI sheet only but details to be filled wherever applicable)
 - iv. Photo of the guardian
 - v. OVD of the guardian for purpose of CKYC

Account opening of illiterate person:

- The rules relating to Savings Bank or other deposit account must be clearly explained to an illiterate person intending to open such accounts in a language in which he/she understands. He / she shall be advised that for withdrawing money from his/her account, he/she must personally come to the Bank with the Passbook, every time.
- It is advised that Left thumb impression in case of a male person, and right thumb impression in case of a female person of the constituent **has** to be obtained on the Account Opening Form in the presence of an authorized Bank officer and a person well known to the Bank who shall attest his thumb impression on the Account Opening Form as witness along with the witness details.(Name ,address, a/c no, etc)
Bank official who is obtaining thumb impression shall affix his/her signature near the thumb impression and add the words “Left/Right hand thumb impression of Mr./Mrs./MS”.
- A declaration shall be taken from the illiterate depositor on the account opening form to the effect that the contents of account opening form as also the rules governing the deposit account have been explained to him, that he / she has fully understood the rules and that he had affixed

his thumb impression after fully knowing the rules. This declaration shall be authenticated by the depositor by affixing his thumb impression and it shall be countersigned by a witness.

In The case of an illiterate person, it shall be prominently written on account opening form that the account is of an “illiterate person”.

Photograph and thumb impression of the person shall be scanned and stored in the CBS system to verify the identity

- The Pass Books of such customers should invariably have photographs, attested by the bank, pasted in the inner front page or the space provided in the passbook for the purpose.
- Cheque Book shall not be issued to him under any circumstances and third-party cash withdrawal cannot be made.
- Usually, no joint account of illiterate with literate person are opened by the Bank as illiterates are gullible and are prone to cheating by the literate. However, it may be allowed in case of joint account between close relatives with genuine request, but adequate safeguard shall be taken to avoid any inappropriate use. Such account shall be opened with the condition that both can only jointly operate it. No cheque book shall be issued even for such joint accounts.
- During the operations in the accounts whenever the passing officer or authorized official notices a visible change in the resemblance of the photograph with the customer, particularly in the case of illiterate customers, a recent photograph shall be obtained from the customer, duly attested and affixed at all appropriate places. In such case, fresh AOF should be obtained from the customer where the latest photograph should be affixed and thereafter filed with the earlier AOF submitted by the customer.
- Payment shall be made in the presence of one witness who is preferably a close relative. Signature and name of the witness shall be obtained on the withdrawal slip.
- Current account shall not be opened in the name of an illiterate person.

Declaration to be obtained by illiterate person while opening CASA/TD account as format enclosed:

To,

Date:

Unity Small Finance Bank Limited ("Bank")

Dear Sir / Sirs,

I _____, _____, aged _____ years, Indian,
residing at _____ agree, confirm and solemnly
declare as follows:

1. I wish to open Savings / Fixed deposit Account with _____ branch of the Bank ("**Account**").
2. I am an illiterate person.
3. I am of sound mind and competent to contract.
4. The terms and conditions in relation to the Account and the Account opening form as also the rules governing the deposit account have been explained to me by the Bank officials and I have fully understood the said rules.
5. I have affixed my thumb impression to this document after fully knowing the said terms and conditions as well as the rules.

I hereby confirm that the contents of this declaration have been explained to me by _____
(name of the staff) in the presence of the witnesses mentioned hereinbelow and I have understood the same.

Signature/Thumb Impression of the
Account Holder Mr./Ms.

Signature of Bank official
Mr./Ms. _____
attesting thumb impression.

Witness:

1. Name:
Address:
Account Number

(Note: if the witness is not an account holder of the Bank, then obtain KYC of the witness)

Unity Small Finance Bank Ltd.

Account opening of Sick, old or Incapacitated person:

The cases of sick / old / incapacitated account holders fall into following categories:

The following are two categories of incapacitated persons:

- A) An account holder who is too ill to sign a cheque/ be physically present in the Bank to withdraw money from his account but can put his/her thumb impression on the cheque/withdrawal form.
- B) An account holder who is not only unable to be physically present in the bank but is also not able to put his/her thumb impression on the cheque/withdrawal form due to certain physical defect/incapacity.
 - In such cases, the thumb/toe impression of the customer shall be obtained. The thumb/toe impression should be identified by two individuals, one being preferably a close relative of the customer and the other being a responsible official of the Bank.
 - When no impression is possible, a mark from any part of the body shall be obtained on the cheque, the mark needs to be described and should be identified by two individuals one being a close relative of the customer and the other being a responsible official of the Bank.
 - On the question of opening a bank account of a person who had lost both his hands and could not sign the withdrawal form, the *signature can* be obtained by *means* of a *mark*. This mark can be placed by the person in any manner. It could be the toe impression, or it can be by means of mark which anybody can put on behalf of the person who has to sign, the mark being put by an instrument which has had a physical contact with the person who has to sign”.

Account opening of Blind / Visually Impaired persons (i.e. persons with difficulty in viewing which means they are not totally blind)

B) Blind

- There shall be no legal bar for a blind to open a bank account.
- The Bank may at its discretion open deposit accounts other than current account in the name of the blind person after observing all necessary formalities.

- While there is no legal provision for appointment of a guardian for the blind person, the Bank may at its discretion, allows a properly constituted attorney to operate the account on behalf of the blind account holder.
- However, in the cases where the Bank is satisfied on merits, the next of kin of the blind person may be allowed to operate the account as constituted attorney duly authorized by a letter of authority or power of attorney as may be considered expedient.
- Signature of the blind person in the Account Opening Form shall be attested by a witness who shall be a person well known to the Bank or a long-standing customer of the Bank.
- Whenever inconsistency in the signature of the blind customer is noticed, left thumb impression in case of a male person, and right thumb impression in case of a female person may be obtained by the Bank in addition to his signature.
- In the case of blind person, it shall be prominently written on account opening form as “Blind”, and photograph shall be scanned and stored in the computer system.

C) Visually Impaired Person

- Bank can open deposit accounts of visually impaired person. Such accounts will be operated by the account holder personally. No differential treatment should be accorded to visually impaired persons. In addition, magnifying glass is also kept in the branch for the use of persons with low vision, wherever they require for carrying out banking transactions with ease.
- The bank official shall explain the terms and conditions governing the account to the visually impaired person.
- To facilitate access to banking facilities by visually challenged persons, banks are advised to offer banking facilities including cheque book facility / operation of ATM / locker, etc., to the visually challenged as they are legally competent to contract.

Opening of Accounts under National Trust for the Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999:

Savings bank and term deposits can also be opened in the name of persons covered under the above Act by guardian appointed to have the care of the person and property of the disabled person, by the Local Level Committees set up under the said Act. All banking facilities will be offered to such people without any discrimination. The legal guardian, so appointed, will furnish an indemnity-undertaking bond duly stamped as per the local law in force along with Guardianship Certificate.

Opening of Accounts under The Mental Health Act, 1987:

- The Mental Health Act, 1987 provides for a law relating to the treatment and care of mentally ill persons and to make better provision with respect to their property and affairs. According to the said Act, “mentally ill person” means a person who needs treatment by reason of any mental disorder other than mental retardation. Sections 53 and 54 of this Act provide for the appointment of guardians for mentally ill persons and in certain cases, managers in respect of their property. The prescribed appointing authorities are the district courts and collectors of districts under the Mental Health Act, 1987.
- Savings bank and term deposits can also be opened in the name of the persons covered under the above Act by a Guardian appointed. by the District Courts / Collectors of Districts under the said Act for this purpose.
- However, if the Bank at its discretion feels that the mentally ill person is sound and capable to make financial decision then bank can waive of the clause of seeking Guardianship Certificate as an exception.
- For the purposes of opening/operating bank accounts, the Branches are advised to give proper guidance, so that the parents/relatives of the disabled persons do not face any difficulty in this regard.

Account of Transgender person

In case of a person claiming to be transgender and needs to open account or to do any banking transaction, the person will be recognized as “Third Gender “and the details shall be accepted in the AOFs/ or other applicable forms as such. All transgender customers shall be treated equally to other male/ female customers without any discrimination.

Account opening of Queer Partners

Queer partners can open joint bank accounts and nominate a person in queer relationship.

Account of Politically Exposed Person (PEP)

Politically Exposed Persons” (PEPs) i.e. individuals who are or have been entrusted with prominent public functions in a foreign country, e.g., Heads of States/Governments, senior politicians, senior

government/judicial/military officers, senior executives of state-owned corporations, important political party officials, etc.

○ Precautions to be taken while opening accounts of Politically Exposed Persons (PEPs) Account of Politically Exposed Person

- a) Sufficient information about the source of funds accounts of family members and close relatives should be gathered.
- b) The identity of the person should be verified before accepting the PEP as a customer.
- c) The decision to open an account for a PEP should be approved by the Compliance Officer & Chief Business Officer. Hence the Branch Manager should recommend and forward the details for approval in the format enclosed.
- d) These instructions shall also be applicable to family members or close relatives of PEP'S.

APPROVAL TO ON-BOARD / RETAIN HIGH RISK CUSTOMERS

To: **Chief Business Officer**

From:

Date:

Name of the Customer: :-

Registration / Identification No: :-

CIF (for existing customer) :-

As a result of screening against World Check database during ongoing review / on boarding, an alert has been generated details of which is mentioned below. I have reviewed the case and hereby provide justification for retaining / on boarding / exiting the relationship (***strikeout whichever is not applicable***).

Branch	
Details of all accounts maintained with the Bank	
Balance (for existing customer – as of _____)	
KYC (Y/N)	
Match Category	
Details of the Match	

Justification:

Recommended by

Date :

Approved / Declined

Approved / Declined Chief Business Officer Chief Compliance Officer

Date:

Date:

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A) If the above is approved, following actions will be undertaken:

- Customer to be risk rated as “HIGH” in CBS
- Branch to continue to monitor the relationship

B) If the above is declined, following actions will be undertaken:

- **NEW ON BOARDING** – Not to be on boarded and information to be shared with Central AML team.
- **EXISTING Customer/s** – Customer to be informed of our decision to exit the relationship and settle accounts within 30 days from the date of the above decision.

Central AML Team to update internal database.

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<i>System updated with revised risk rating by AML Central Team</i>	<i>Date:</i>
<i>Authorised by and date</i>	

Retrieval of KYC documents through CKYCR Number

Where a customer, for the purposes of establishing an account-based relationship, submits a KYC Identifier to the Bank, with an explicit consent (through letter or registered email ID) to download records from CKYCR, then the Bank shall retrieve the KYC records online from the CKYCR using the KYC Identifier. The branch may raise the details to Consumer Banking Team at Corporate Office for downloading the KYC details from CERSAI. The documents downloaded need to be uploaded in BIDMS. The customer shall not be required to submit the same KYC records or information or any other additional identification documents or details.

Where the CKYC documents furnished by the customer does not have updated address, the following documents or the equivalent e-documents there of shall be deemed to be OVDs for the limited purpose of proof of address: -

Registered Sale Agreement or Registered & Valid Leave and License Agreement to be obtained for Current address.

OR

Any one of the following Deemed OVDs can be obtained

- a. Utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill).
- b. Property or Municipal tax receipt.
- c. Pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings if they contain the address.
- d. Letter of allotment of accommodation from employer issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and license agreements with such employers allotting official accommodation.

Within 3 months the customer shall submit an updated OVD with current address to the Bank. If the customer does not provide OVD with updated Address, then the account will be Debit frozen.

Contact Point Verification (CPV), for proof of address is discontinued w.e.f. 04.04.2025.

Consent Letter for establishing Account based relationship:

I/We, _____, residing/having office at _____ (complete address)
wish to open a _____ account with USFB at _____ branch.

I/We hereby share my/our explicit consent for downloading my/our KYC details from CERSAI basis my/our KYC identification number (KIN) for the above-mentioned purpose.

I/We confirm that there is no change in my/our information (including my/our current address) as mentioned in my/our KYC submitted to CERSAI.

However, in case Bank wants me/us to submit KYC documents due to any valid reason cited, I/We 'll abide by the same.

Date of Birth (for individual) _____
Date of Incorporation (for legal entity) _____
PAN Number _____

Thanking You,
Yours Faithfully,

Signature

Enhanced due diligence (EDD)

The bank follows a risk-based approach as per RBI guidelines. High-risk customers need more careful monitoring to ensure their activities are legitimate. And **EDD** is a set of extra steps the bank takes to carefully check and monitor high-risk customers. This is to prevent money laundering and other illegal activities.

Practical Steps for EDD:

- **Gather More Information:** Collect extra details about the customer from various sources.
- **Conduct Thorough Searches:** Perform deeper investigations into the customer's background.
- **Verify Source of Funds:** Check where the customer's money comes from to ensure it's not linked to crime.
- **Understand the Business Relationship:** Get detailed information on why the customer wants to do business with the bank and how they will use the account.
- EDD should be done by the Senior staff of the bank, if the Sourcing staff is below Deputy Manager, then BM should be accompanied while conducting EDD.

High-risk customers mentioned below for your reference. Customers who belong to the below list require enhanced due diligence (EDD) to be carried out in the below format under **Enhanced due diligence (EDD) Checklist**.

1. Trust, charitable organizations, Non-Government Organization (NGO), organizations receiving donations, Non-Profit Organisations (NGOs promoted by the United Nations or its agencies, and such international/ multilateral organizations of repute, shall be classified as low risk customers and Educational trusts/ institutions shall be classified as Medium Risk).
2. Politically exposed persons (PEPs) of Indian/ foreign origin
3. Non-Face to face Customers.
4. Policemen.
5. Lawyers.
6. Shell companies
7. Bullion dealers and Jewellers (whether manufacturer, trader or into retail sales);
8. NRE/NRO
9. Money changers
10. Import/export
11. Arts and antique dealers
12. MLM companies
13. Casino
14. Arms manufacturing
15. Gaming/gambling lottery
16. Political parties
17. Religious institutions

Enhanced due diligence (EDD) Checklist

Primary Information

Particulars	Branch Response
Date of EDD	
Name of customer and account no	
Address of Communication	
Contact No./ Landline/ Mobile	
Purpose of EDD (please tick the purpose of EDD)	Activity/ Account opening/ Business proof/ stock verification/ Address Verification
If customer or AuS/BO could not be met at the registered address, who else was met with. Also identify who is the person and who was met with contact details	
Customer Profile (Brief Description- Occupation/Industry)	
Is the customer a Politically Exposed Person (PEP)	
Expected Annual income/Turnover (Projected for current FY)	
Source of Income/Wealth	
In case of Transaction related EDD (Source of funds along with the deployment of funds)	
In case of Transaction related EDD (Relationship with counterparties where the customer has done the transactions)	
Customer Experience in business	
Is customer into any other business/mention group/ Associate Company details, if any	
Total Relationship value with the bank	

Customer Requirements
Business Setup

Is Address easily traceable	Yes/No
Business office setup	Not good/ Average/ Good/ Excellent / Under Renovation, other specify -----
Nature of Accommodation	Owned/Rented/ Other specify & Business Address/ Warehouse/ Factory/ Godown/ Residence/ Others :-----
Building Type	Slum/Chawl/ Multi-tenanted/ Mall/ Own residence/ Apartment/ villa
Business activity seen	Yes/No

Final Comments:

Recommendations	Positive/Negative
Remarks in case of Negative result	

For Office Use only

Branch Name & Code	
EDD Conducted by EMP ID	
EDD Conducted by Name	
EDD Conducted by Designation	

- Customers who do not have KYC documents can open Small Accounts (BSBDA Small Product Code 1049) by obtaining a self-attested photograph signed in the presence of Bank staff. For this purpose, the customer will have to approach the branch. There are restrictions on transaction limits in Small Accounts including prohibition of any credit of foreign remittance in the account. Such accounts shall remain operational initially for a period of twelve months, which can be extended for a further period of twelve months,

provided the account holder applies and furnishes evidence of having applied for any of the OVDs during the first twelve months of the opening of the said account. CBS system should be updated with comments as such by Branch Officer and confirmed verified by Branch Manager.

- BSBDA (Product code 1048) account can be open with the full KYC and with Zero Balance. There are some conditions to be followed in the BSBDA accounts, such as customer should not hold any BSBDA account with any other Bank and only 4 cash withdrawal is permitted during the month etc.

For the above manual-based process, branch shall scrutinize and authenticate the validity of the documents by logging into respective websites. When the copies of PAN and Aadhaar are obtained from the customer towards KYC, self-attestation of the customer should not be insisted upon. The staff who is accepting the documents should verify the original document and certify the verification. PAN verification is done through NSDL and Aadhaar verification is done through UIDAI. As and when Aadhaar validation services will be provided, Aadhaar should be validated.

After scrutiny of KYC documents, Customer Identification (CIF) number is created in Customer Relationship Management Solution (CRM). During creation, all details of the customer as obtained in PI Sheet form is updated in CBS. When customer provides proof of Aadhaar Card as an OVD, Branch official should enter Aadhaar Number in the CRM and ensure to redact or mask the details of Aadhaar number on the copy of Aadhaar leaving only last 4 digits visible before scanning and uploading in BIDMS as mentioned in point 1.5.

Risk rating should be updated as per profile of the customer in lines with the KYC-AML Policy. Every customer should be allotted a Relationship Officer/Relationship manager which will be the responsibility of the Branch Manager based on relationship value. On submission of record, a unique Customer Identification number is created (CIF). If CIF already exists for a customer, then the same is continued. In such a case there is no need for a fresh Customer Due Diligence unless any demographic details like address have been changed. During CIF creation, de-duplication check (whether the customer exist in the database based on the name and document details), blacklist, negative list should be checked.

After the creation and verification of the Customer Identification number the branch should create and verify the account. The 15-digit account number so created will be issued to the customer. Account should not be opened without initial payment. The initial payment should be accepted by way of Self Drawn cheque or remittance from the customer's own account held with another Bank. In case of exceptional cases where customer not having account with another

bank or account with thumb impression where cheque is not available, cash may be accepted for initial payment with the approval of Cluster Manager / Zonal Manager.

NOTE: Initial deposit in cash should be less than Rs. 20,000/- only.

Account opening form, Photographs, signatures, all KYC documents submitted should be scanned and uploaded in BIDMS.

By Updating relevant field in BIDMS and By updating KYC document, the data will be available for creation of CKYC. If the users fail to do so the data for CKYC will be incomplete.

Process of KYC/CKYC in BIDMS:

Integrated channels Tab -> BIDMS Menu -> New Customer Tab -> Select Docket id (as per allotted CIF) -> Fill CKYC Data and ADD document.

The services opted for by the customer like internet banking, mobile banking, cheque book, e-statement, etc. should be registered with CBS.

In Account Master -> CASA Account Maintenance -> New Account

If customer is desirous to avail any benefit or subsidy under any scheme notified under section 7 of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016), branches should ensure to obtain certified copy of Aadhaar.

- Customers who do not have KYC documents can open Small Accounts (BSBDA Small Product Code 1049) by obtaining a self-attested photograph signed in the presence of Bank staff. For this purpose, the customer will have to approach the branch. There are restrictions on transaction limits in Small Accounts including prohibition of any credit of foreign remittance in the account. Such accounts shall remain operational initially for a period of twelve months, which can be extended for a further period of twelve months, provided the account holder applies and furnishes evidence of having applied for any of the OVDs during the first twelve months of the opening of the said account. CBS system should be updated with comments as such by Branch Officer and confirmed verified by Branch Manager.
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For the above manual-based process, branch shall scrutinize and authenticate the validity of the documents by logging into respective websites. When the copies of PAN and Aadhaar are obtained from the customer towards KYC, self-attestation of the customer should not be insisted upon. The staff who is accepting the documents should verify the original document and certify the verification. PAN verification is done through NSDL and aadhaar verification is done through UIDAI. As and when Aadhaar validation services will be provided, Aadhaar should be validated.

After scrutiny of KYC documents, Customer Identification (CIF) number is created in Customer Relationship Management Solution (CRM). During creation, all details of the customer as obtained in PI Sheet form is updated in CBS. When customer provides proof of Aadhaar Card as a OVD, Branch official should enter Aadhaar Number in the CRM and ensure to redact or mask the details of Aadhaar number on the copy of Aadhaar leaving only last 4 digits visible before scanning and uploading in BIDMS as mentioned in point 1.5.

Risk rating should be updated as per profile of the customer in lines with the KYC-AML Policy. Every customer should be allotted a Relationship Officer/Relationship manager which will be the responsibility of the Branch Manager based on relationship value. On submission of record, a unique Customer Identification number is created (CIF). If CIF already exists for a customer, then the same is continued. In such a case there is no need for a fresh Customer Due Diligence unless any demographic details like address have been changed. During CIF creation, de-duplication check (whether the customer exist in the database based on the name and document details), blacklist, negative list should be checked.

After the creation and verification of the Customer Identification number the branch should create and verify the account. The 15-digit account number so created will be issued to the customer. The customer pays an initial deposit either by cash, cheque or by remittance.

Account opening form, Photographs, signatures, all KYC documents submitted should be scanned and uploaded in BIDMS.

By Updating relevant field in BIDMS and by updating KYC document, the data will be available for creation of CKYC. If the users fail to do so the data for CKYC will be incomplete.

Process of KYC/CKYC in BIDMS:

Integrated channels Tab -> BIDMS Menu -> New Customer Tab -> Select Docket id (as per allotted CIF) -> Fill CKYC Data and ADD document.

The services opted for by the customer like internet banking, mobile banking, cheque book, e-statement, etc. should be registered in CBS.

In Account Master -> CASA Account Maintenance -> New Account

If customer is desirous to avail any benefit or subsidy under any scheme notified under section 7 of the Aadhaar (Targeted Delivery of Financial and Other subsidies, Benefits and Services) Act, 2016 (18 of 2016), branches should ensure to obtain certified copy of Aadhaar.

a) .



Format for
branch
recommendation

1.2 Inoperative Accounts

Accounts which are tagged as Inoperative (No customer induced transaction for more than 2 year in the account) – Accounts can be activated by obtaining KYC documents. For this purpose of Inoperative account activation SOP on “Inoperative Accounts and Static Data changed” should be referred.

(<http://pmcweb.pmcddc.local:8080/PMCBIntranet>)

1.3 Customer Risk Categorization

○ Creation of Customer Information File

- The Bank Carries out assigning the Risk profile (Low / Medium /High) to each customer. Initially the profiling of the customer is done at the time of creation of CIF (Customer Information file), followed by a half-yearly review.
- In the case of Retail Customers, the initial profiling is carried out at the branch level and in case of Entity based customers the Profiling done by branches, which is scrutinized and assigned by Centralized Account opening cell. Thereafter the activity of review of risk rating is carried out by Banking Operations-KYC/AML Cell.

- Based on the information provided by the customers, Branch shall create the customer profile, which will be approved by BOM / Branch Manager. The process of creation of Customer Master is delegated to the branch for Retail customer.
 - Pre-approval of Consumer Banking, CAOC department will be required on-boarding of non-individual customers.
- Risk Rating shall be done by branch while creating profile of new individual and non-individual customer taking into consideration the details mentioned below:**
- Retail CIF- In case of Retail customers, the Risk Profiling shall be carried out taking into consideration the Nature of job /activity, Employer details, Designation and Salary/Income range related details furnished by Customer in Personal Information Sheet and as per banks KYC AML policy.
 - Non-Individual CIF- In case of Non-Individual Customers viz. Proprietorship Firms, Partnership, Private Limited Companies, Limited Companies, LLP, Trusts, Co-op Societies, Banks etc. the Risk Profiling shall be carried out taking into consideration the Nature of business, product being availed, Geographic location, line of activity, Business Income/turnover range, etc furnished by customer in Personal Information sheet.

The customers who are engaged in certain professions where money-laundering possibilities are high have been specified in Banks KYC -AML Policy. Such factors should also be taken into consideration during risk profiling. The ultimate responsibility for knowing the customer lies with the BOM/ Branch Manager. They should prepare a profile for each customer based on risk categorization criteria.

- The level of Money Laundering Risk that Bank is exposed to by a customer relationship depends on below factors:**
1. Type of the customer and nature of business activity,
 2. Type of product/service availed by the customer,
 3. Location of customer and his clients,
 4. Mode of payment,
 5. Volume of turnover,
 6. Social and financial status,
 7. Country where the customer is domiciled etc.

The various other information collected from different categories of customers relating to the perceived risk is non-intrusive.

Based on the above criteria, the customers are classified into High, Medium and Low Risk.

The bank has prescribed that a customer should be risk rated as per the categorization criteria irrespective of the above-mentioned factors.

HIGH RISK

High risk customers are those who are engaged in certain professions or avail the banking products and services where money laundering possibilities are high. Following is the few cases of customers that can be defined in High-Risk Category. Periodic updation of KYC for high-risk customers shall be carried out every two years for high-risk customers.

- Trust, charitable organizations, Non-Government Organization (NGO), organizations receiving donations, Non-Profit Organizations (NGOs promoted by the United Nations or its agencies, and such international/ multilateral organizations of repute, shall be classified as low risk customers and educational trusts/ institutions shall be classified as Medium Risk)
- Politically exposed persons (PEPs) of Indian/ foreign origin
- Non-Face to face Customers
- Policemen
- Lawyers
- Bullion dealer/Jewellers (where manufacture, trader or into retail sales)
- NRE/NRO
- Money Changers
- Import/Export
- Art/Antique Dealer
- MLM Companies
- Casino
- Arms Manufacturing
- Gaming/gambling lottery

- Political parties
- Religious institution
- Real Estate, Developers, Builders

MEDIUM RISK

Periodic updation of KYC shall be carried out every Eight years for Medium-risk customers.

- HUFs
- High Net worth Individuals
- Commodity Traders
- Chartered Accountants

LOW RISK

Applicants/Entities whose identity and sources of income can be easily identified, and all other person/Entities not covered under the above two categories will be categorized as low risk. Periodic updation of KYC shall be carried out every ten years for low-risk customers.

- Individuals- Salaried person, students, Housewives, Minor accounts

1.4 Screening of the customer while On-Boarding

Customer screening and customer monitoring are the key procedures to a risk-based approach to KYC AML policy. The purpose of customer screening and customer monitoring is **to identify customer risks by making a risk assessment**. Screening is carried for all new customers on boarded. In case of any positive match, SOP pertaining to 'Screening of new customer' should be referred.

1.5 Central KYC Records Registry (CKYCR) record creation

While On Boarding the customer, Branch is required to capture customer's KYC documents such as Address proof and Identity Proof under BIDMS in the CBS. This will Facilitate for CKYC Registration and record creation. Branch should ensure to redact or mask the Aadhaar Number leaving last 4 digits visible before scanning and uploading the documents in BIDMS.

Process of KYC/CKYC in BIDMS:

BIDMS (Document Management Systems)

While On-boarding a customer, activation of an account and Re-KYC, Account Opening Form and KYC documents should be invariably uploaded in BIDMS.

Importance of BIDMS

- It serves the purpose of storage & retrieval of documents.
- Allows bank to meet compliance requirements.
- The bank has to update the CKYCR within 10 days of onboarding, activation of an account and re-kyc submission For **CKYC creation, BIDMS updating is mandatory**.
- Transactions through Mobile App will be restricted due to “Partial KYC”, if BIDMS is not updated.
- In CBS, the customer is marked as KYC compliant on completion of BIDMS.

Hence timely completion of BIDMS is of most important. The branch has to complete the process of BIDMS within 2 days of onboarding the customer. Activation of the account, submission of KYC documents by the customer. receiving KYC from the customer

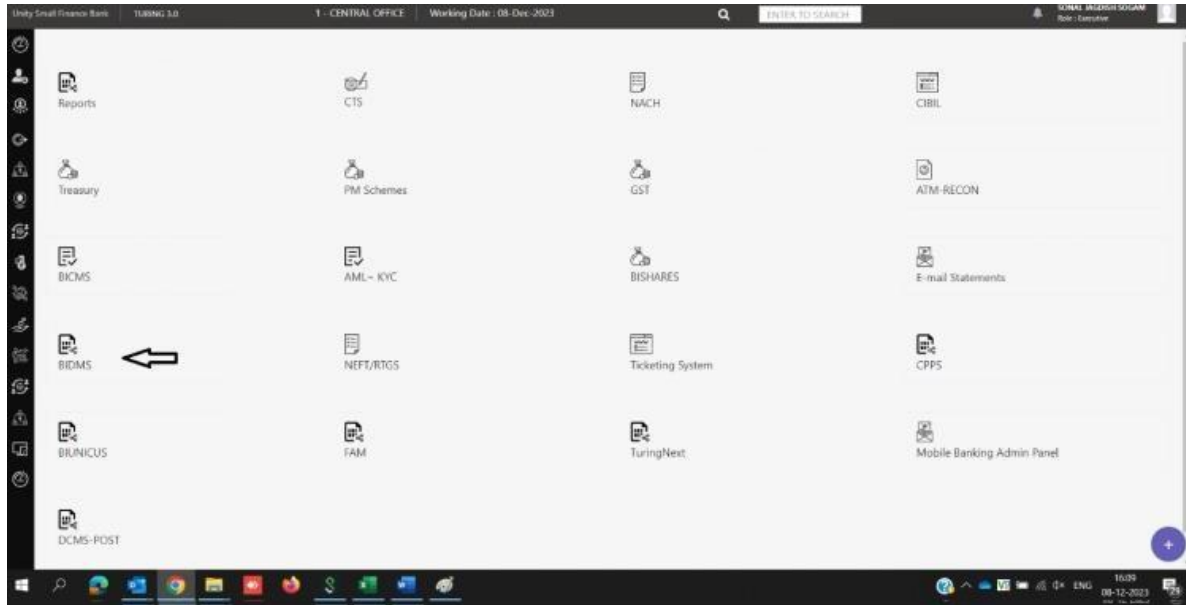
- Process in BIDMS: **Turing Integrated channels Tab--> BIDMS menu² New Customer Tab--> Select Docket Id (as per allotted CIF)--> Fill CKYC data and ADD documents (Scanned documents)**

A) Process of KYC/CKYC in BIDMS :

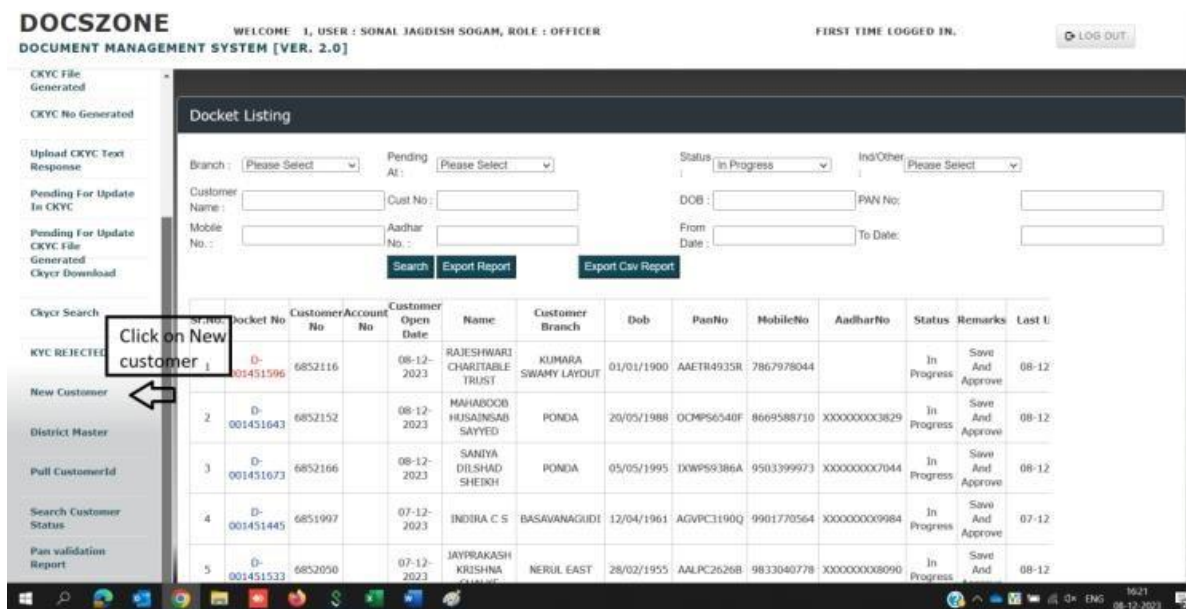
1. Click on Integrated Channels:



2. Select BIDMS option:



3. Then click on New Customer:



4. Then select respective branch of cif then put cif no and finally click on search:

DOCSZONE WELCOME I, USER : SONAL JAGDISH SOGAM, ROLE : OFFICER FIRST TIME LOGGED IN. LOG OUT

DOCUMENT MANAGEMENT SYSTEM [VER. 2.0]

New Account

Branch: [Please Select] Pending At: [Please Select] Status: [In Progress] Ind/Other: [Please Select]

Customer Name: [] Cust No: [] DOB: [] PAN No: []

Mobile No: [] Aadhar No: [] From Date: [] To Date: []

Pending Mapping: 1140895

[Search] [Export Report] [Export Civ Report]

Click on search

Sr.No.	Docket No	Customer Account No	Customer Open Date	Name	Customer Branch	Dob	PanNo	MobileNo	AadharNo	Status	Remarks	Last Upd
1	D-001451585	6852105	08-12-2023	SANDEEP KUMAR ARYA	M.G. ROAD	15/12/1967	AAUPA6624L	9999972467	452778952615	In Progress	System Generated	08-12-2023
2	D-001451588	6852107	08-12-2023	DEEPTI ARYA	M.G. ROAD	28/06/1972	ADMVA8501F	9999972467	548066265074	In Progress	System Generated	08-12-2023
3	D-001451590	6852111	08-12-2023	SURHASH DHONDIRAM GAJKWAD	AUNDH	01/06/1962	AAWPG1512H	9011288646	123511747320	In Progress	System Generated	08-12-2023
4	D-001451591	6852106	08-12-2023	R N VEDAVATHI	SHIMOGA	03/04/1941	ANBPV2576Q	7406406173	806944046556	In Progress	System Generated	08-12-2023
5	D-001451592	6852109	08-12-2023	RAZA BAKSHI	ATTIBELE	19/03/1984	AMPPB2663P	8008032490	536484678897	In Progress	System Generated	08-12-2023

5. Click on Docket no-

New Account

Branch: [26 - PANVEL] Pending At: [Please Select] Status: [In Progress] Ind/Other: [Please Select]

Customer Name: [] Cust No: [1755197] DOB: [] PAN No: []

Mobile No: [] Aadhar No: [] From Date: [] To Date: []

Pending Mapping: 1

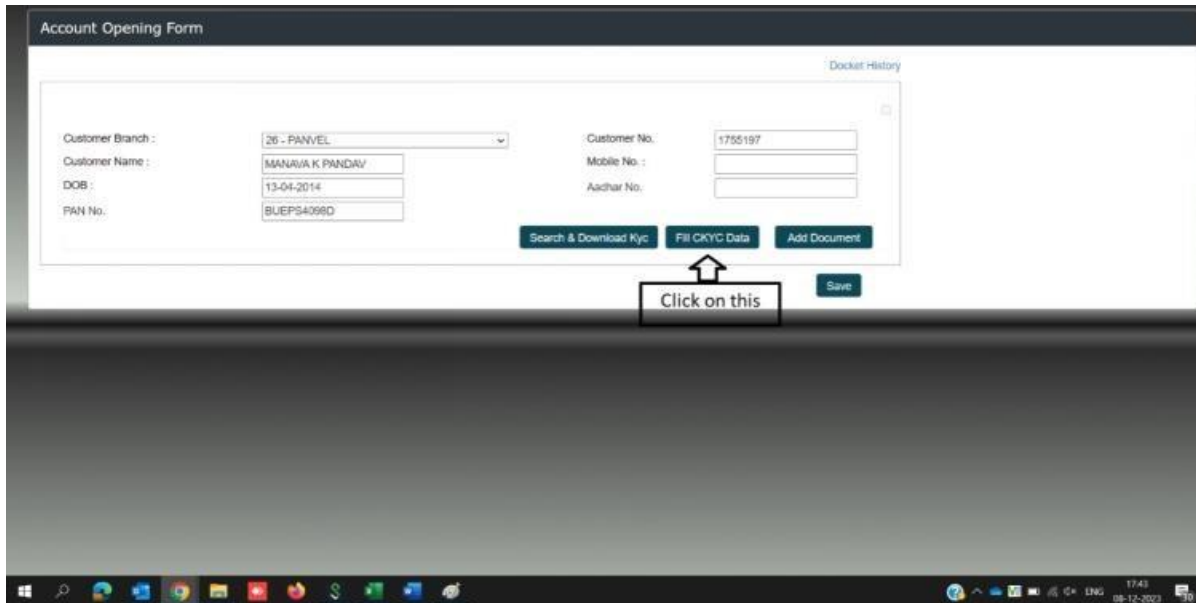
[Search] [Export Report] [Export Civ Report]

Click on Docket no

Sr.No.	Docket No	Customer Account No	Customer Open Date	Name	Customer Branch	Dob	PanNo	MobileNo	AadharNo	Status	Remarks	Last Update	Pending At
1	D-000967746	1755197	14-11-2014	MANAVA K PANDAV	PANVEL	13/04/2014	BLUEP54098D			In Progress	System Generated	02-12-2022	Inputter

First Previous Next Last

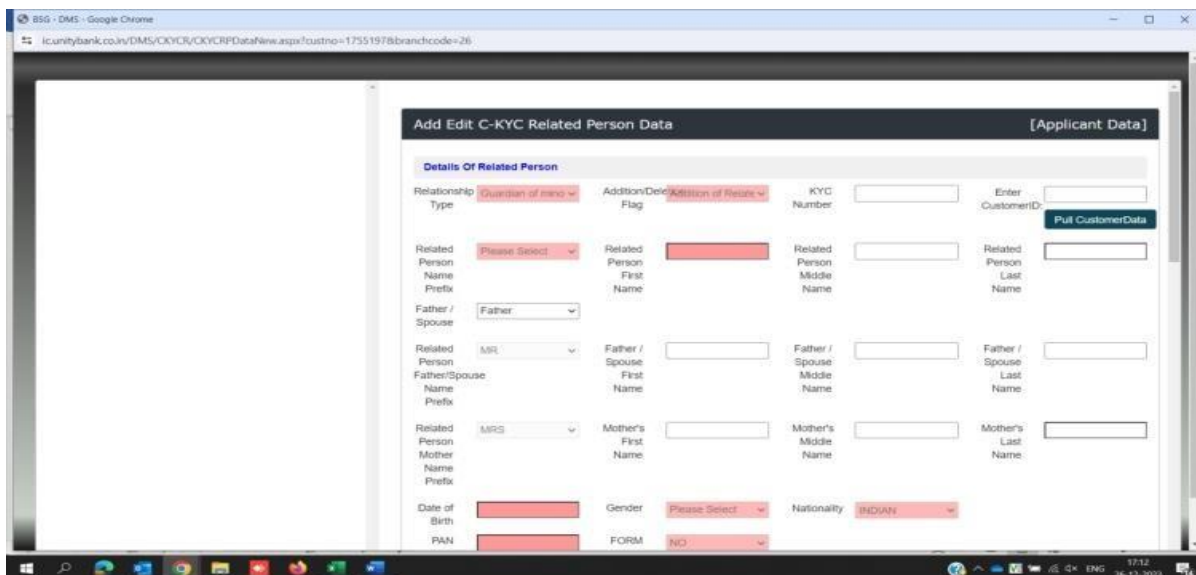
6. Now please select option "Fill CKYC Data"-



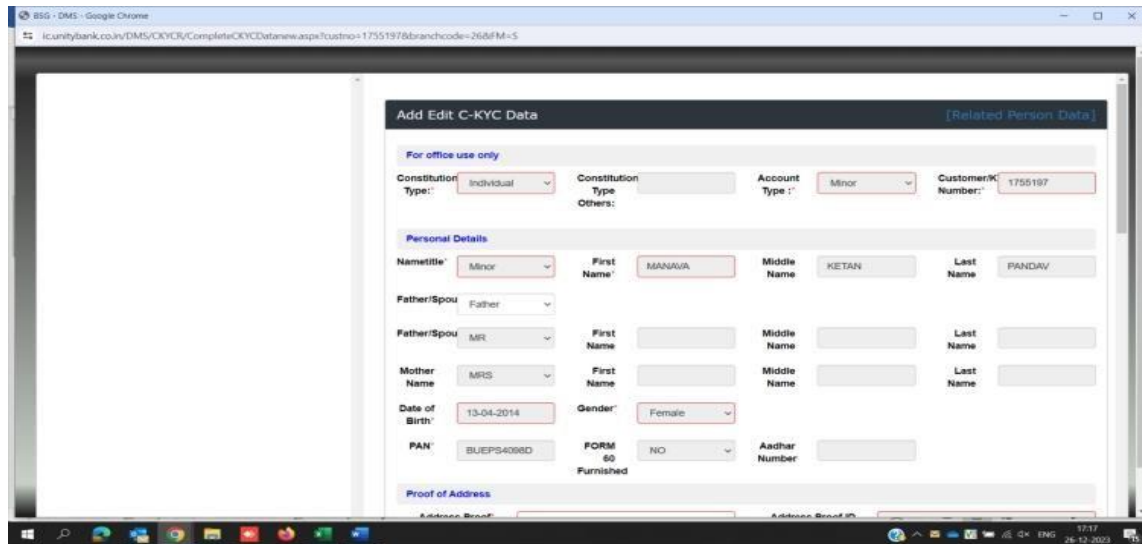
B) Process of KYC/CKYC of minor in BIDMS: -

For BIDMS of minor the above-mentioned step from 1 to 6 to be followed and thereafter following steps to be followed

6. First enter guardians CIF in “Enter Customer ID” tab and then click on pull customer id:

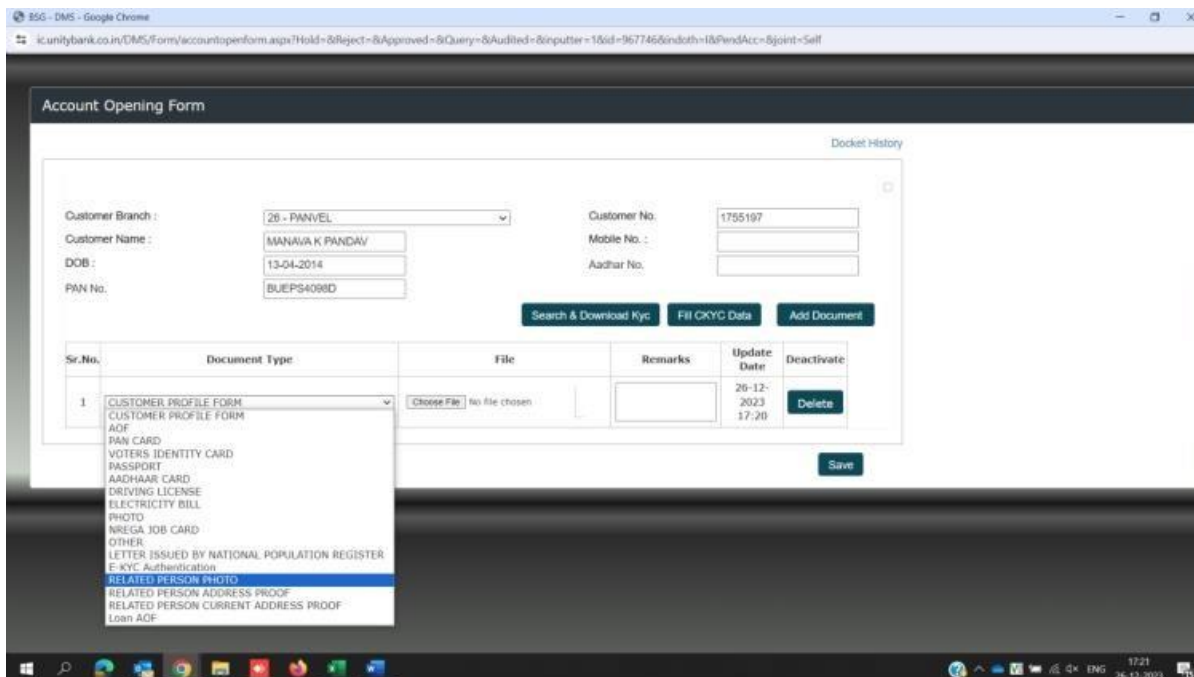


7. Please update Guardians details then click on “Applicant Data”:



8. Once both CIFs details are saved in fill C-KYC tab branch can add related documents in this CIF.

9. While uploading documents in Minor’s BIDMS always upload Guardians documents like photo and address proof by selecting proper document type showed below:



Integrated channels Tab -> BIDMS Menu -> New Customer Tab -> Select Docket id (as per allotted CIF) -> Fill CKYC Data and ADD document.

1.6 On-Boarding of the customers on Holiday or after Branch working Hours

The branches are permitted to On-Board the customers or open a new account on the exceptional cases such as :

- New Branch opening
- Marketing Activity or Event organized by branch on Holidays or extended business hours
- Branches who are working on Sundays
- Extended Banking Hours due to some unforeseen reasons

Branch Manager/Branch In charge will be responsible and accountable for all the points mentioned above in SOP at Branch level

APPROVAL TO ON-BOARD / RETAIN HIGH RISK CUSTOMERS

To: **Chief Business Officer**

From:

Date:

Name of the Customer :-

Registration / Identification No.:-

CIF (for existing customer) :-

As a result of screening against World Check database during ongoing review / on boarding, an alert has been generated details of which is mentioned below. I have reviewed the case and hereby provide justification for retaining / on boarding / exiting the relationship (***strikeout whichever is not applicable***).

Branch	
Details of all accounts maintained with the Bank	

Balance (for existing customer as of _____)	
KYC (Y/N)	
Match Category	
Details of the Match	

Justification:

Recommended by

Date :

Approved / Declined
Chief Business Officer
Date:

Approved / Declined
Chief Compliance Officer
Date:

+++++

c) *If the above is approved, following actions will be undertaken:*

- Customer to be risk rated as "HIGH" in CBS
- Branch to continue to monitor the relationship

d) *If the above is declined, following actions will be undertaken:*

- **NEW ON BOARDING** – Not to be on boarded and information to be shared with Central AML team.
- **EXISTING Customer/s** – Customer to be informed of our decision to exit the relationship and settle accounts within 30 days from the date of the above decision.

Central AML Team to update internal database.

+++++

System updated with revised risk rating by AML Central Team	Date:
Authorised by and date	

1.7 On-Boarding of Staff additional rate of interest:

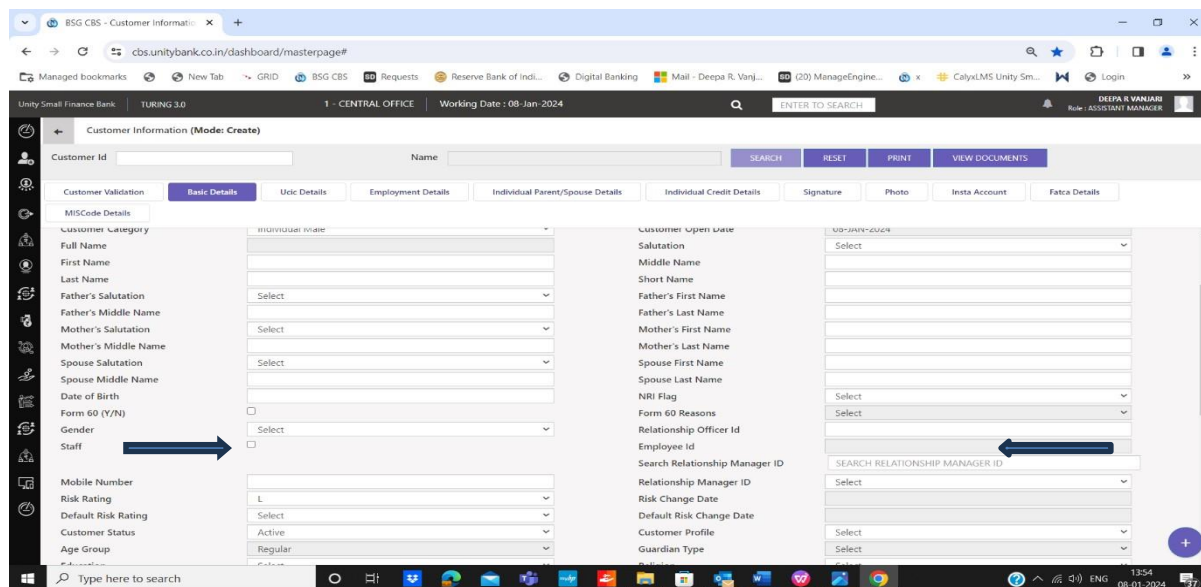
Additional Rate of Interest is given to USFB permanent employees in Saving account and Fixed Deposit. Hence precautions should be taken while opening staff accounts.

1.7.1 Staff eligibility for availing staff benefit

1. Retired staff who is not a senior citizen would be eligible for staff benefit.
2. Retired staff who is senior citizen would be eligible for staff benefit + senior citizen benefit.
3. Contract staff who are not in direct payroll with the Bank are not entitled to staff benefit.
4. Staff need to be primary holders for availing staff benefit for e.g.
 - a) In case of minor operated by guardian, staff benefit cannot be given.
 - b) In the case of a joint account where the staff is the first holder the staff will be eligible for staff benefit.

1.7.2 The branch must adhere to the following protocol whenever staff members approach the branch to open an account.

1. Ask employees for their bank ID card, confirmation letter, or mail along with their OVD and KYC documents.
2. Send an email to the HR operation asking them to confirm if the employee is on a permanent basis, contract basis, or is a consultant.
3. The branch must change the staff tag in the CIF in accordance with HR's approval, if the employee is permanent.



1.8 Account portability or Home Branch Change

The home branch of a bank account holder is the branch where the account is initially opened and the process of knowing your customer (KYC) is completed. The relevance of the home branch has decreased with banks providing online facilities and at par cheques to account holders.

However, banks provide facility to get the account transferred from one branch to another branch i.e the customer can opt for changing his/her home branch.

1.8.1 Scenario in which the home branch is changed.

- Change /Shifting of residence/business/workplace of the customer.
- The proximity of the branch is near to the workplace of the customer.
- There is a new branch of the bank which is nearer than the existing branch of the account holder.
- Business parked at other branches.

For e.g., business generated during marketing before launch of the branch is parked in any of the existing branches and after launch of the branch, such accounts and fds to be transferred to the new branch.

- The exact name of the new branch where the account is to be transferred.

1.8.2 Process for Branch change.

- **For Branch Change activity, Branches to collect the application and documents from customer and send the request to Centralised Processing Team via CRM application for further CBS changes.**
- A written request can be submitted to the branch where the customer wants to shift the account. The request letter has to be signed by all the account holders and the same has to be verified by the branch official. However, if the customer submits the letter in his/her own format, then the same can be accepted.
- **The customer can request for branch change through registered email id only in below cases:**
 - If the account is held by the customer singly.
 - If there is no change of address of the customer.
 - In such cases the branch would make a call back to the customer at the registered phone number and reconfirm the instructions are sent by the customer, and same shall be noted on the request form with date, time, and signing by the branch official.
- **The request letter/mail should clearly state the following:**
 - reason for changing the home branch.
 - clearly indicate the account number/s which are to be transferred to another branch.

Procedure to be followed by the branches:

- Obtain request letter from the account holder. The letter should be in warded, and the signature of the customer (all account holders) should be verified as per our records.
- New account opening form is not required to be obtained, unless there is any addition or deletion of names, but branches should check for account opening form and KYC documents in AOF is dully filled and complete in all respect including details of nomination.
- KYC once done by one branch of the Bank will be valid for transfer of the account within the Bank as long as full KYC has been done for the concerned account.
- If KYC updation is due, then Data updation form to be obtained along with latest KYC documents.
- Form DA 3 to be obtained if the customer requests for change of nomination
- Also ensure that the PIS is obtained with income details and said details are updated in the customer master.
- The account opening form should have all KYC documents including PAN/ FORM 60, OVD and FATCA application etc. which should be updated in the customer master as well as scanned copies should be uploaded in BIDMS. If any of the documents are not available, the home branch should be requested to upload said documents immediately for checking the same.
- Ensure that the latest address and contact details including latest mobile number & email ids are obtained & updated in customer master. In case of change in address, the latest address with the address proof should be obtained & updated in CRM as well as scanned copies of same to be uploaded in BIDMS.
- Check the status of the account whether the account is active or Inoperative. If the account is Inoperative, initiate necessary process for activation of the account followed by customer induced transaction as SOL change of active account can be done.
- If the account is already lien noted or freeze marked then ensure that the said lien or freeze is continued after porting of an account.
- The existing cheque book should be obtained by the branch and destroyed & new cheque book should be issued to the customer after transfer of account to the other branch, which will hold the revised MICR code.
- **Post completion of documentation, branches shall send the application along with documents to CPC Team for further changes in CBS.**

1.9 Scheme Code Change

For Product Change activity, Branches to collect the application and documents from customer and send the request to Centralised Processing Team via CRM application for further CBS changes.

The bank provides its customers with several schemes, including current accounts, savings accounts, fixed deposits, minor accounts, basic savings deposit accounts, and special fixed deposit schemes.

In Turing, each scheme is assigned a unique code known as the product code. Customers might choose to move from one plan to another. This feature is limited to a few schemes. Product code of current cannot be changed to savings and vice versa.

1.9.1 Reason for Product change

A few of the reasons why products change is listed below:

1. A product change is required if a minor's account was opened under a special scheme code and the minor subsequently becomes a major.
2. Change of customer's residential status from resident to Non-Resident and Vice Versa.
3. Change in the account status from BSBDA to regular savings.
4. Product code can be changed for newly launched scheme

1.9.2 List of documents required to be obtained by branch for doing product code change in different cases:

1. In case minor turns major – Application for minor turn major from customer, PAN and any one official valid document for identity and address proof (Please find annexure below for list of OVD). On attaining the age of majority, **fresh operating instructions, photograph and specimen signature of the account holder shall be obtained and kept on record**. Moreover, if the account is operated by the guardian, the balance shall be got confirmed. The branch shall take advance action, including communicating these requirements to minor account holders attaining the age of majority, to ensure fulfilment of these requirements.
2. In case product change needs to do of NRE/NRO account – Application from customer, Passport, Visa details, PAN and OVD for identity and address proof.

3. In the case of a BSBDA account – Application from customer, PAN or form 60, OVD for identity and address proof.
4. Request letter from customer for change of product code to newly launched scheme.

Post completion of documentation, branches shall send the application along with documents to CPC Team for further changes in CBS.

1.10 Closure of accounts

A) Reasons for closure of bank account

The Bank Account of the customer may be closed for various reasons which are as follows:

- 1) The customer himself would like to close the account due to various reasons like shifting of residence, transfer of service/job to such a place where there are no bank's branches
- 2) On account of death of the customer, the account of the customer has to be closed.
- 3) The bank can forcibly close the account,
 - a) if the account is inactive/inoperative without any balance for the long time
 - b) the bank has suspected /notices funds from illegal/fraudulent activity is routed through the account.
 - c) If the customer is found in negative list during screening
 - d) If the customer fails to comply the KYC of the account
 - e) If there is frequent Inward cheque return in the account

B) Procedure for closure of account:

When the customer himself would like to close the account due to various reason like shifting of residence, bad experience with the staff, locality of the branch, etc

- 1) Just as the account is opened with the consent of both, it can be closed only with the consent of both. All the account holders should be physically present for giving their consent to close the account.
- 2) A written application signed by all the account holders should be obtained.
- 3) On accepting the application branch staff first needs to check

- a. Lien Mark and freeze in the account. **Kindly note that account freeze or lien marked by the statutory authority or for recovery cannot be closed.**
 - b. Liability pending in any.
 - c. Charges pending if any.
 - d. Whether the account is linked to any of the locker for rent recovery/to Demat facility
 - e. Funds pending in Amalgamation.
 - f. For any type of pending Standing Instruction
- 4) If there is any lien mark, freeze, liability pending, then the account cannot be closed.
 - 5) For charges pending, the branch must first recover the charges.
 - 6) If the account is linked for locker, Demat, any type of SI, then first obtain application for linking of locker, demat, SI to any other account before closure of this account.
 - 7) Reason for closure of the account has to be mentioned on the application.
 - 8) Debit Card, Credit Card and Unused cheque book should be surrendered. The Debit card number and number of unused cheque book should be mentioned on the account closure form.
 - 9) The application should clearly state the instruction of payment of balance of amount in the account i.e. balance should be paid in cash/transfer/demand draft/NEFT.
 - 10) **Approval of Cluster Head will be required to be obtained for premature closure of Term Deposit (irrespective of amount) or for closure of Active Savings or Current Account.**
 - 11) **The repayment amount on closure of account (together with interest, if any) amounting to Rs.20,000/- or more has to be made only by credit to the account of the payee or by an account payee cheque/ draft/remittance.**
 - 12) After closure of the account the Debit Card, Credit Card and Unused cheque surrendered should be destroyed in front of the customer.
 - 13) Balance amount and mode of transfer of the balance amount should also be mentioned on the account closure form under Bank's use section.
 - 14) The Closure application should be signed by the Bank official and the Manager.
 - 15) Branch Official should also deface the account opening form and clearly mention the remark. "Account closed on (date)" on the face of the account opening form.
 - 16) Account closure request can be submitted by customer at another branch and forward the request to home branch. Home branch will handle account closure process.

A) Closure of account on account of death of a customer

For closure of account on account of death of customer, the branch can refer SOP for settlement.

B) Closure of account for negative list customer

For closure of account if the customer is found in negative list during screening, the branch can refer SOP for screening.

1.11 Appointment of Mandate Holder, POA and LOA

A) Mandate:

A mandate is a simple letter of authority, signed by a constituent authorizing the bank to permit a certain named person to operate the account on his/her behalf. One can appoint a mandate holder by submitting a mandate form along with the requisite documents to the bank to allow a certain individual to operate his account. Thus, a mandate is given for allowing somebody to operate the account, to make, draw, accept or otherwise sign bills of exchange & other negotiable instruments or sometimes, even to overdraw the account.

- Mandates are very often used by the Current Account Holders.
- Operations in accounts includes All type of remittances (Transfers/NEFT/RTGS, Issue of Demand Drafts/Pay orders, Inward clearing cheques, Cash withdrawals/deposits) are allowed to be done by Authorized Signatories.
- **Branches to follow below guidelines for Appointment of mandate holder in customer's account:**
 - A mandate is a simple letter of authority where stamping is not required.
 - Operating instructions must be clearly mentioned in the Mandate form.
 - KYC documents as per the Master Direction - Know Your Customer (KYC) Directions, 2016 i.e. Photo, OVD (Officially Valid Document), ID, Address proof and FATCA declaration and **Personal Information Sheet** of the Authorized Signatory should be obtained.
 - Signature of the Mandate Holder should be obtained on Mandate form and also in the Account Opening Form along with rubber stamp as "Authorized Signatory"/ "Mandate Holder".
 - New CIF to be created for mandate holder if does not exist.
 - CIF to be added in Authorized Signatory tab at Account Level in CBS and remarks to be added as "Mandate holder appointed with effect from"Date"
 - Mode of operation to changed in CBS as per instruction.
 - Signature of Mandate holder to be scanned.

Revocation of the Mandate

- The mandate will be in force till the customer (Executant) informs the Bank in writing, that he has revoked the same. Mandate can be revoked or would stand revoked if the executant dies.
- The mandate shall stand automatically cancelled / extinguished under law, in the event of the death, insolvency or insanity of the customer (Executant).

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B) Letter of Authority:

Letter of Authority is a document under which one person authorises another person to do a particular act. Hence it is used for very specific purpose. A Letter of Authority (LOA) is a legal document that authorises a third party to correspond with service providers on behalf of person and his/her business. An LOA may or may not identify how an action is to be carried out. LOAs are typically used for more specific, administrative tasks. LOAs are typically simpler and may not need to specify the exact manner in which the task is to be performed.

e.g. LOA can be used for collecting or submitting documents on behalf of a person, LOAs are more commonly used for tasks like submitting documents, making inquiries, or managing routine administrative duties.

In case if a third party is visiting the branch for any service on behalf of customer on a regular basis then one- time Authority Letter can be obtained even if the third party is a family member.

1. To get the Principal (customer) to attest the signature of the Agent (mandate holder) on the Mandate letter / LOA document.
2. To include a clause in the Mandate letter / POA / LOA that the said instructions shall remain valid and in force unless the same is revoked in writing and communicated to the Bank by the principal (customer).

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Branches to follow below guidelines for Appointment of mandate holder in customer's account:

- Verify the content in the LOA
- Verify signature of the customer with bank records.
- The Branch would do a call back to the customer at the registered phone number and reconfirm that the instructions has been sent by the customer and same shall be noted on the request form with date, time and sign by Branch Official.
- The staff member calling back the customer will send an email to the registered email address of the customer confirming the discussion.
- ID card of the third party to be obtained.

C) Power of Attorney:

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When large & proper transactions are to be carried out, one should opt for a Power of Attorney & to appoint a Grantee through a POA, the documents must be signed before a public notary and stamped with appropriate stamp duty.

i) Applicable as per respective State Stamp Act.

ii) If the POA is to be used in States other than the home state, then the stamping has to be done for the highest of the stamp duty applicable to POAs across the respective States involved.

A POA can be of two types--- General & Special power of attorney.

1. Special POA-- If the appointment is made for a specified act or acts.
2. General POA—If the appointment is made generally for certain acts.

LOA usually conveys a relation of master & servant, whereas the attorney relation is more like a principal & agent.

Task specified under the letter of authority is usually done under the 'direct' control & supervision of the person bestowing the authority whereas in the case of power of attorney, there is a greater scope for independence.

POAs grant broader and potentially more complex authority, allowing the agent to make significant decisions.

POAs can involve detailed instructions and limitations on the agent's powers.

POAs are often used in situations where the principal is unable to act on their own, such as due to incapacitation or travel.

While acting on POA, nothing should be assumed. Power to operate account does not give authority to open/close and transfer the account and deal with negotiable instruments. Power to operate account does not give power to overdraw.

1. If specifically provided for in the POA, attorney may sign cheques on behalf of the principal clearly indicating that he/she is acting on behalf of the principal. **E.g. -**

For Mr. XYZ

Constituted Attorney

OR

For Mr. XYZ

POA Holder

2. POA Holder may give instructions to Bank to STOP PAYMENT of cheques issued from the account; however, POA holder does not have the powers to revoke the stop-payment instructions. That prerogative belongs only to account holder.

3. POA holder does not have the power to freeze / unfreeze operations in an account. That prerogative belongs only to account holder.

The Branches should be careful in accepting the POA. The POA should be current in nature. The Branches should periodically say, once in a year, confirm that the POA is still in force and it is not revoked, and the customer is alive. **

1. Also to ensure that the POA does not contain onerous clauses which may be operationally difficult for the Bank to comply with.

2. Also ensure that POA does not contain conditional clauses that might introduce uncertainty; the POA should clearly and definitively grant the attorney the authority to act on the principal's behalf.

Branches to follow below guidelines for Appointment of POA holder in customer's account:

- Power of Attorney are instruments through which one person (Principal) appoints another person (Agent) to act on his behalf.
- The power of attorney should be stamped as per the Stamp Act of the state, in which it is executed.
- Power of Attorney bears a Notarial Number as per the Register of the Notary.
- POWER OF ATTORNEY. Submitted by the account holders must be verified & confirmation to be obtained from Principal/Customer. In case POA is submitted other than customer itself the same required to be confirm with Principal/Customer in-person.
- Operating instructions must be clearly mentioned in the POA.
- KYC documents as per the Master Direction - Know Your Customer (KYC) Directions, 2016 i.e. Photo, OVD (Officially Valid Document), ID, Address proof and FATCA declaration of the Attorney holder should be obtained.
- Signature of the POA holder should be obtained on POA and also in the Account Opening Form.
- New CIF to be created for mandate holder if does not exist.
- CIF to be added in Authorized Signatory tab at Account Level in CBS and remarks to be added as "Mandate holder appointed with effect from "Date"
- Mode of operation to be changed in CBS as per instruction.
- Signature of Mandate holder to be scanned.

Revocation of the POA

The Power of Attorney will be in force till the customer (Executant) informs the Bank in writing, that he has revoked the same. The Power of Attorney can be revoked or would stand revoked if the executant dies or becomes of unsound mind or the executant is adjudged insolvent or on liquidation of the Company.

The Power of Attorney becomes Invalid on the death of the Principal/Customer.

1.12 Abbreviations

CKYC - Central KYC records registry
SOP- Standard operating procedures
EDD- Enhanced due diligence
CPV- Contact Point Verification
KYC- Know your customer
KIN- KYC identification number
CIF- Customer identification number
OVD- Officially valid document
HUF- Hindu undivided family